

social habits (the film and video industry, for example, has suffered on account of cable and satellite television), changes in laws, and increase in prices. The risk at this time is high but the returns are low, even negative.

The various stages can be likened to the four stages in the life cycle of a human being — childhood, adulthood, middle age and old age. Investors should begin to purchase shares when an industry is at the end of the entrepreneurial or nascent stage and during its growth stage, and should begin to disinvest when at its mature stage.